

funds, or bonds each month to create the desired cash flow. This is like a reverse dollar-cost averaging strategy. Instead of buying an arbitrary number of units with a fixed amount of cash each month, you are selling an arbitrary number of units to create a fixed amount of revenue each month. Then, to account for any price inflation in your consumption needs, you increase the amount withdrawn under the systematic plan on a yearly basis.

Now, before proceeding, we must deal with one other unpleasant aspect of financial budgeting for retirement—income taxes. Your estimate of \$10,000 per year probably does not account for income taxes. If this is the case, then the \$10,000 that you plan to consume is really an after-tax amount. The pre-tax withdrawal will, therefore, be higher. Everything you pull out of your tax-sheltered plan will be taxed at your marginal tax bracket because you have never actually paid income tax on that money (for the most part). Now, of course, there are also Roth versions of an IRA in which taxes have been paid upfront; the investments then grow tax sheltered but you are exempt from paying income taxes when you withdraw the funds. I won't get into this.

What this all boils down to is that if you require \$10,000 to live on—and you are in a 33.33% marginal income tax bracket, for example—then you will really have to withdraw \$15,000 from the nest egg, two-thirds of which you will be able to consume yourself. (Just to err on the conservative side, I'm not factoring in certain expenses—for example, medical expenses—that might be tax-deductible.)

Now, a Pandora's box that I would certainly like to avoid is the whole question of what marginal tax brackets will be 10 or 20 years from now. Today, we know that the highest marginal tax bracket is in the 30% to 40% range. But who's to say that federal and state authorities won't raise that number, especially as it applies to funds withdrawn from a tax-sheltered savings plan? In fact, on a professional level, I feel much more confident predicting the long-term expected rate of return from various asset classes than I do predicting what the income tax structure will look like in 15 years. We might move toward a flatter tax system, in which all income is taxed at roughly the same rate, or we might see an increase in progressivism, which would raise tax rates on the top income bracket above the current 30% to 40% region. Unfortunately, it's probably one of the biggest question marks in the financial planning equation. Nevertheless, we must play the game